

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

DIP SHIPPING COMPANY, LLC, *REVOCATION OF OCEAN
TRANSPORTATION INTERMEDIARY LICENSE NO. 018752.*

DOCKET NO. 20-04

RESPONSE BY DIP SHIPPING COMPANY, LLC

Pursuant to 46 CFR 502.703 and the April 21, 2020 Notice of Right to Respond issued by Chief Administrative Law Judge Erin M. Wirth, Dip Shipping Company, LLC, (hereinafter also referred to as the "Licensee"), files its response to the Bureau of Enforcement Submission of Materials Supporting Notice of Revocation filed on April 12, 2020. Dip Shipping Company LLC's response was due on May 21, 2020, hence, this Response is filed timely.

The licensee, Dip Shipping Company LLC, did not violate 46 US 40903 or the implementing Federal Maritime Commission (FMC) regulations at 46 CFR 515.16. The Licensee did not violate any provisions of the Shipping Act of 1984, as amended by the Ocean Shipping Reform Act of 1998 (515.16(a)(1)), did not make any materially false or misleading statements to the FMC in connection with its license (515.16(a)(3)), and the FMC's determination that the licensee is "not qualified to render intermediary services" (515.16(a)(4)) is self-serving, vague, and not supported by the submissions of the Bureau of Enforcement, and not supported by the history of the Bureau of Enforcement in other cases regarding licensees which have maintained their licenses after a Federal guilty plea to a felony.

It should be clear that the new Qualifying Individual (QI) of Dip Shipping Company LLC, Ms. Margie Guadalupe Dip, whom the Bureau of Enforcement has now alleged is not qualified to render intermediary services had her character investigated by the FMC, and after such investigation, was determined to be the QI for Dip Shipping Company LLC. See Exhibit #6 to the Bureau of Enforcement Submissions. The illegal activities of Roberto Dip and Dip Shipping Company LLC that occurred as alleged in the criminal charging document should in no way be connected to the activities of Dip Shipping Company LLC under the new ownership and management. See Exhibit #10 of the Bureau of Enforcement Submissions. Please note that those illegal activities were alleged to have occurred from 2010 to 2015. The FMC's approval of Ms. Margie Guadalupe Dip, as the new owner and manager, was not until September 3, 2019. See Exhibit #8 to the Bureau of Enforcement Submissions.

The Plea Agreement of Dip Shipping Company LLC filed with the Court on October 8, 2019, also stated the basis of the illegal acts were done in 2010 to 2015. See Exhibit #12 to the Bureau of Enforcement's Submissions. The significance of the timeline is that Dip Shipping Company LLC is not alleged to have committed any illegal acts of the Shipping Act of 1984 or any other illegal acts AFTER its ownership and management were transferred from Roberto Dip to Ms. Margie Guadalupe Dip and her sister, Maria D. Dip, in 2019, as submitted to, reviewed, and approved by the FMC. To base a revocation on allegations that occurred five years prior to the current ownership and management control of the company is not supported by any legal precedent cited by the Bureau of Enforcement.

On the first page of the Bureau of Enforcement Submission of Materials Supporting Notice of Revocation, it stated, in relevant part:

On February 19, 2020, BCL issued a Notice of Intent to Revoke the ocean transportation intermediary (OTI) license of Dip Shipping on the basis that neither Mr. Roberto Dip nor Dip Shipping are qualified to provide intermediary services based on their respective criminal guilty pleas recently accepted by the

U.S. District Court for the Southern District of Florida. Moreover, the failure of Dip Shipping or its replacement Qualifying Individual (QI) to disclose the guilty plea of Dip Shipping in its corporate capacity serves as an additional basis for BCL's determination.

The February 19, 2020 BLD Notice of Intent to Revoke License No. 018752 is identified as Exhibit #1 to the BCL Submission. That letter states on the first page, in relevant part:

For the reasons described in greater detail in Attachment A hereto, BCL has preliminarily determined that the recent criminal plea of guilty entered by Mr. Roberto Dip and Dip Shipping and accepted by the U.S. District Court, conclusively establish that Dip Shipping is no longer qualified to provide intermediary services within the meaning of 46 USC 40903 and 46 CFR 515.16(a). In addition, the failure of Dip Shipping and its replacement QI to disclose pending criminal charges, as well as entry of its guilty plea as a corporate defendant, demonstrate that Dip Shipping is no longer qualified to provide intermediary services within the meaning of 46 USC 40903 and 46 CFR 515.16(a)(1), (3). See Attachment A.

Licensee generally concurs with Bureau of Enforcement's Attachment A's "Supporting Statement of Facts Constituting Basis for Commission Action", except for paragraphs 21, 22, and 23. As stated in the attached Declaration by the criminal defense attorney Joel Denaro, on behalf of both Mr. Roberto Dip and Dip Shipping Company LLC, and the attached Declaration of Ms. Margie Guadalupe Dip, the Bureau of Enforcement was advised through regular and constant communications regarding the criminal investigation and prosecution including the guilty plea and sentencing, of both Roberto Dip and Dip Shipping Company LLC, by representatives of the U.S. Department of Justice (DOJ). In the initial proceedings, the DOJ attorneys were Lauren Elfner, and Emma Dick, and Emma Dick was replaced by Carsten M. Reichel. All the involved DOJ attorneys work in the Antitrust Division of the DOJ in Washington, D.C. The belief by Ms. Margie Guadalupe Dip that the FMC was aware of the plea agreement by Dip Shipping Company LLC is not analogous to the "moral turpitude reflecting directly upon the licensee's continued fitness to conduct business as an OTI." See the case which was cited by the Bureau of Enforcement as the basis for the revocation of the license in the AAA Nordstar Line Inc – Revocation of License No. 12234, 29 S.R.R. 663 (FMC, 2002), in the Bureau of Enforcement's Submission on page FMC105.

Although I am not aware that the AAA Nordstar was decided by an ALJ, I attach the Revocation of License No. 012234 AAA Nordstar Line, Inc. Order to Show Cause. Again, this appears to be the primary source of case law cited by the Bureau of Enforcement at FMC105. That case is instructive, but not in the way the Bureau of Enforcement may have intended. First, the two people who pled guilty to Federal crimes were the owners of the company. The Order, at page 3, in reference to the FMC regulations at 46 CFR 515.16(a) stated:

These latter regulatory provision largely itinerate the obligation imposed by the statute that each applicant for a license must initially be qualified by "experience and character" to act as an ocean intermediary, and must continuously maintain such qualification of integrity, good character, technical OTI expertise and financial responsibility thereafter as a condition of license retention.

Licensee concurs these characteristics are material to the approval of a QI for an OTI.

The Order further stated:

The Commission previously has found that the sanction of revocation is appropriate when the Commissioner can no longer rely upon the honesty and integrity of the licensee, or of its principals, to extent necessary to insure future conduct within the confines of the statutes and regulations. Independent Ocean Freight Forwarder Application – Lesco Packing Inc., 19 F.M.C. 134 (1976; Independent Ocean Freight Forwarder License –E.L. Mobley, Inc., 21 F.M.C. 845 (1979). The crimes of mail fraud and conspiracy to commit mail fraud in connection with Great Eastern Shipping's business of handling and transporting military

household goods on behalf of the Department of Defense, admitted in the pleas of guilty entered by Mr. Anil Rane and Mrs. Maria Fabros, constitute acts of moral turpitude reflecting directly upon the licensee's continued fitness to conduct business as an OTI.

See Dip Shipping Exhibit #1.

Again, Licensee agrees with the above analysis, and that is exactly why Roberto Dip, as the former President and owner of Dip Shipping Company LLC, could no longer continue to be connected to the company. Ms. Margie Guadalupe Dip became the 50% owner and Manager, and, importantly, the Qualified Individual (QI) whose character and integrity was examined by the FMC and determined to be acceptable for the FMC to approve the transfer of the license for Dip Shipping Company LLC. The proof was the issuance of the license by the FMC to Dip Shipping Company LLC that had nothing to do with the prior illegal acts of Roberto Dip, or the prior illegal acts of Dip Shipping Company when the company was owned and operated by Roberto Dip years before.

Dip Shipping Company LLC is not privy to the telephonic or e-mail communications between the Bureau of Enforcement and General Counsel for the FMC and the DOJ attorneys regarding Dip Shipping Company LLC. As stated in the Bureau of Enforcements' Submission, on page 2, it summarized Dip Shipping Company LLC's desire to conduct discovery in this case, but noted that "such a substantial discovery process is not necessary." On the contrary, such discovery in this case is necessary as it goes to the essence of the defense of the Licensee that the FMC was well aware of the nature and scope of the illegal activity to which Dip Shipping pleaded guilty and was sentenced. Only through discovery, or at a hearing, where both FMC and DOJ officials testify in cross-examination under oath, will the extent of such communications be brought to light. As such, Dip Shipping Company LLC repeats its initial request to have a hearing pursuant to 46 CFR 502.702.

Only through an oral hearing where the information may be elicited from the only persons who have relevant and material information can the extent of the communications to the FMC by the Licensee through its criminal defense counsel to the DOJ attorneys and by the DOJ attorneys to the FMC be known. The persons who would participate in such an oral hearing would be: (1) Joel Denaro, (2) Lauren Elfner, (3) Carsten Reichel, (4) Benjamin Trogon, (5) Clifford Johnson, Acting Director, Office of Ocean Transportation Intermediaries, FMC, Washington, D.C., and (6) William H. Shakely, Acting General Counsel, FMC, and/or Joel F. Graham, Assistant General Counsel Litigation and Adjudication, FMC. All of the Federal Government individuals work in Washington, D.C., and only Joel Denaro is located elsewhere. At a minimum, in the interests of justice, all e-mail communications between the DOJ and FMC regarding Dip Shipping may be submitted in camera to the ALJ for review and analysis to determine whether discovery is to be allowed, and whether an oral hearing should then take place.

The ALJ has the legal authority to order such discovery or an oral hearing as provided for in the FMC's own regulations, as recently amended.

46 CFR 502.706 – Request for an oral hearing or argument.

(a) In the usual course of disposition of matters filed under this subpart, no oral hearing or argument will be held, but the administrative law judge, in their discretion, may order such hearing or argument.

In that the information necessary to resolve this case is inherently outside the control of the Licensee, this is not a "usual" case.

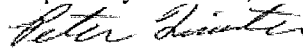
The Bureau of Enforcement has not taken such severe action as revocation of a license in other situations. A revocation of a license is a 'death sentence' for Dip Shipping Company LLC as an ocean transportation intermediary which has been in business since 2004. It simply cannot legally operate without such a license. All

of its employees will be terminated. In such a difficult economic environment, especially in maritime trade and especially in Miami, Florida ("the cruise capital of the world") all terminated employees are unlikely to find other gainful employment. Even if all of the allegations made against Dip Shipping Company LLC were accurate, the Bureau of Enforcement has failed to allege that any actions less severe than revocation (temporary suspension or warning) would be sufficient.

Finally, the Bureau of Enforcement, and FMC generally, has not been consistent. In the present case, the Bureau of Enforcement is attempting to revoke a license from a company because of its illegal acts of its former owner and former QI. Yet, other companies have maintained their licenses when committing identical illegal acts. See attached press release by the U.S. Department of Justice regarding "K" Line Logistics, an international freight forwarder regulated by the FMC with current License No. 003840. The Press Release described K-Line pleading guilty to price fixing on ocean shipping services and agreeing to pay a \$67.7 million criminal fine. The Tokyo, Japan corporation is listed on the FMC OTI website at <https://www2.fmc.gov/oti/NVOCC.aspx>, and its "K" Line Logistics (USA), Inc. company has freight forwarder license 003840. See Dip Shipping Exhibit #2. Similarly, the case of another international freight forwarder, Compania Sud Americana de Vapores S.A. (CASV), a Chilean corporation, committing the same antitrust violations in 2014, pleading guilty to them, and paying a \$8.9 million criminal fine, there was no revocation of its OTI license by the Bureau of Enforcement of the FMC. See U.S. Department of Justice February 27, 2014 press release. Dip Shipping Exhibit #3. The March 5, 2014 press release by the FMC announced a separate penalty of \$625,000, but no revocation of the company. Dip Shipping Exhibit #4.

WHEREFORE, based upon the preceding, we request that the ALJ conclude that there was insufficient evidence to support the revocation of the license by FMC of Dip Shipping Company LLC, and if not, then grant the request for an oral hearing after ordering limited discovery has been conducted of the individuals at the FMC and DOJ identified above.

Respectfully submitted,



Peter A. Quinter, Shareholder
Florida Bar Board Certified in
International Law

CERTIFICATE OF SERVICE

I hereby certify that on 21st day of May 2020, a copy of the foregoing Response by Licensee has been served via email upon Benjamin K. Trogdon, Director, Bureau of Enforcement, Federal Maritime Commission, 800 North Capitol Street, NW, Washington, D.C. 20573

GRAYROBINSON, P.A.
Attorneys for Respondent Dip Shipping Company Inc.
401 East Las Olas Boulevard
Suite 1000
Fort Lauderdale, FL 33301
Telephone: 305-416-6960
Facsimile: 954-761-8112

By: /s/ Peter Quinter
Peter A. Quinter, Esq.
Florida Bar No.: 821608
Peter.quinter@gray-robinson.com

(S E R V E D)
(NOVEMBER 5, 2001)
[FEDERAL MARITIME COMMISSION]

FEDERAL MARITIME COMMISSION

DOCKET NO. 01-1 1

**REVOCATION OF LICENSE No. 012234
AAA NORDSTAR LINE INC.**

ORDER TO SHOW CAUSE

Respondent AAA Nordstar Line Inc. ("AAA Nordstar") is a Delaware corporation incorporated in 1991. Since August 2000, AAA Nordstar has operated an ocean transportation intermediary ("OTI") pursuant to FMC license No. 012234. According to a review of records maintained by the Commission's Bureau of Consumer Complaints and Licensing ("BCCL"), AAA Nordstar maintains principal offices at 1571 Irving Street in Rahway, New Jersey. BCCL records identify the principals of the firm as Anil V. Rane, its President and Qualifying Individual, and Maria E. Fabros, its Vice President and Secretary.

It has come to the attention of the Commission that Anil Rane and Maria Fabros also serve as officers and/or shareholders of Great Eastern Shipping, Inc. ("Great Eastern Shipping"), an unlicensed entity engaged in the transportation of military household goods pursuant to contracts with the U.S. Military Traffic Management Command ("MTMC"). It further appears that Great Eastern

Shipping was then sharing office space with AAA Nordstar in Rahway, NJ and possibly at other locations, and that Great Eastern Shipping has held itself out to the public as serving as the agent of AAA Nordstar.’

On July 26, 2001, judgment was rendered against Anil Rane in the United States District Court for the District of New Jersey, pursuant to Mr. Rane’s plea of guilty to two federal counts alleging mail fraud and conspiracy to commit mail fraud. On September 14, 2001, judgment was rendered against Maria Fabros in the United States District Court, pursuant to Mrs. Fabros’ plea of guilty to two counts of mail fraud and conspiracy to commit mail fraud. Sentencing documents relating to the above judgments assert that, from September 1998 through June 2000, co-conspirators Anil Rane and Maria Fabros, acting through Great Eastern Shipping, were awarded more than 350 single-shipment contracts for ocean transportation of cargo through the Department of Defense. It was asserted that defendants Anil Rane and Maria Fabros routinely overbilled MTMC and also falsified documents to make it appear that Great Eastern Shipping was using U.S. flag vessels when the transportation was, in fact, performed by foreign-registered vessels, contrary to U.S. shipping laws and the applicable MTMC shipping contracts. Each defendant was sentenced to jail time and extended court supervision upon subsequent release. Pursuant to a separate settlement agreement, defendants agreed to make financial restitution to the government in the amount of \$4,323,673.79.

Section 19 (a) of the 1984 Act, 46 U.S.C. app § 1718 (a), as amended by the Ocean Shipping Reform Act of 1998,² provides that any person in the United States acting as an ocean transportation

‘At the time of AAA Nordstar’s application for an OTI license, applicant’s qualifying individual was required to submit standard information regarding the applicant’s current office-sharing arrangements, the identification of officers, directors and owners of corporate applicants, locations of branch offices, and any relationships with other corporations or shippers. Applicant’s qualifying individual, Anil Rane, responded in the negative to questions regarding common ownership or operation of other companies.

² Pub. L. 105-258, 112 Stat. 1902.

intermediary (“OTI”) must hold a license issued by the Commission. Section 19 (b) of the 1984 Act, further provides that the Commission:

... shall, after notice and hearing, suspend or revoke a license if it finds that the ocean transportation intermediary is not qualified to render intermediary services.. .

46 U.S.C. app. § 1718(b). The Commission’s implementing regulations, at 46 C.F.R. Part 515, provide that a license be revoked or suspended for any of the following reasons:

- (1) Violation of any provision of the Act, or any other statute or Commission order or regulation related to carrying on the business of an ocean transportation intermediary;
- (2) Failure to respond to any lawful order or inquiry by the Commission;
- (3) Making a materially false or misleading statement to the Commission in connection with an application for a license or an amendment to an existing license;
- (4) Where the Commission determines that the licensee is not qualified to render intermediary services; or
- (5) Failure to honor the licensee’s financial obligations to the Commission.

46 C.F.R. § 5 15.16 (a). These latter regulatory provisions largely iterate the obligation imposed by the statute that each applicant for a license must initially be qualified by “experience and character” to act as an ocean transportation intermediary, and must continuously maintain such qualifications of integrity, good character, technical OTI expertise and financial responsibility thereafter as a condition of license retention. See also, 46 C.F.R. §§ 5 15.13 and 5 15.15 as to considerations in the review and

investigation of OTI applications and the standards for denial of OTI licenses to applicants initially requesting same.³

The Commission previously has found that the sanction of revocation is appropriate when the Commission can no longer rely upon the honesty and integrity of the licensee, or of its principals, to the extent necessary to insure future conduct within the confines of the statutes and regulations. *Independent Ocean Freight Forwarder Application - Lesco Packing Inc.*, 19 F.M.C. 134 (1976); *Independent Ocean Freight Forwarder License - E L. Mobley Inc.*, 21 F.M.C. 845 (1979). The crimes of mail fraud and conspiracy to commit mail fraud in connection with Great Eastern Shipping's business of handling and transporting military household goods on behalf of the Department of Defense, admitted in the pleas of guilty entered by Mr. Anil Rane and Mrs. Maria Fabros, constitute acts of moral turpitude reflecting directly upon the licensee's continued fitness to conduct business as an OTI. This is true inasmuch as the offending officials, and perhaps others having ties to Great Eastern Shipping, have served and may continue to serve as employees, officers, directors and

³§ 5 15.13 Investigation of applicants. The Commission shall conduct an investigation of the applicant's qualifications for a license. Such investigations may address:

- (a) The accuracy of the information submitted in the application;
- (b) The integrity and financial responsibility of the applicant;
- (c) The character of the applicant and its qualifying individual; and
- (d) The length and nature of the qualifying individual's experience in handling ocean transportation intermediary duties.

§ 5 15.15 Denial of license. If the Commission determines, as a result of its investigation, that the applicant:

- (a) Does not possess the necessary experience or character to render intermediary services;
- (b) Has failed to respond to any lawful inquiry of the Commission; or
- (c) Has made any materially false or misleading statement to the Commission in connection with its application;

then, a letter of intent to deny the application shall be sent to the applicant by certified U.S. mail or other method reasonably calculated to provide actual notice, stating the reason(s) why the Commission intends to deny the application.

shareholders of the corporate licensee, or as the agents for same through the means or device of Great Eastern Shipping. It further appears that, in applying for and conducting business under authority of its OTI license, AAA Nordstar Inc. and its principals made materially false or misleading statements to the Commission, and subsequently failed to correct such omissions or otherwise advise the Commission of changes in material facts relating to its operations and the qualifications of its management.⁴

NOW THEREFORE, IT IS ORDERED That pursuant to sections 11 and 19 of the Shipping Act of 1984, AAA Nordstar Inc. is hereby directed to show cause, why its OTI license, FMC No. 012234, should not be revoked inasmuch as the officers, directors or other principals, employees or agents of licensee have been found to have violated provisions of the 1984 Act or other shipping statutes or regulations related to carrying on the business of an ocean transportation intermediary, and that such licensee is otherwise not qualified to render intermediary services;

IT IS FURTHER ORDERED That this proceeding is limited to the submission of facts and memoranda of law;

IT IS FURTHER ORDERED That any person having an interest and desiring to intervene in this proceeding shall file a petition for leave to intervene in accordance with Rule 72 of the Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.72. Such petition shall be

⁴Such omissions or misstatements of fact include, but are not limited to, common management, ownership and space sharing arrangements between AAA Nordstar and Great Eastern Shipping; the failure to disclose or obtain additional surety with respect to operation of branch offices in Florida and California; the failure to disclose all current officers and/or directors of AAA Nordstar; and the failure to disclose changes in material facts relating to the convictions of AAA Nordstar principals Anil Rane and Maria Fabros. Under 46 C.F.R. § 515.12 (d), licensees and applicants must advise Commission of changes in material fact, within thirty (30) days of occurrence, through the submission of an amended Form FMC-18 Rev.

accompanied by the petitioner's memorandum of law and affidavits of fact, if any, and shall be filed no later than the day fixed below;

IT IS FURTHER ORDERED That AAA Nordstar Inc. is named as Respondent in this proceeding. Affidavits of fact and memoranda of law shall be filed by Respondent and any intervenors in support of Respondent no later than December 5, 2001;

IT IS FURTHER ORDERED That the Commission's Bureau of Enforcement is made a party to this proceeding;

IT IS FURTHER ORDERED That reply affidavits and memoranda of law shall be filed by the Bureau of Enforcement and any intervenors in opposition to Respondent no later than January 4, 2002;

IT IS FURTHER ORDERED That rebuttal affidavits and memoranda of law shall be tiled by Respondent and intervenors in support no later than January 22, 2002;

IT IS FURTHER ORDERED That:

(a) Should any party believe that discovery is required, that party must submit a request for such discovery setting forth the reasons for the motion. Such motions will be granted only under exceptional circumstances duly demonstrated in the request, and shall conform to the requirements of Subpart H of this part;

(b) Should any party believe that an evidentiary hearing is required, that party must submit a request for such hearing together with a statement setting forth in detail the facts to be proved, the relevance of those facts to the issues in this proceeding, a description of the evidence which would be adduced, and why such evidence cannot be submitted by affidavit;

(c) Should any party believe that an oral argument is required, that party must submit a request specifying the reasons therefore and why argument by memorandum is inadequate to present the party's case; and

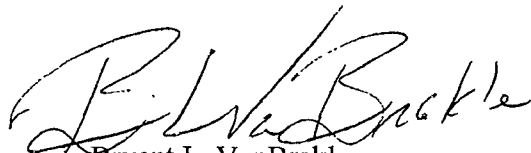
(d) Any request for discovery, for evidentiary hearing or for oral argument shall be filed no later than January 4, 2002;

IT IS FURTHER ORDERED, That notice of this Order be published in the Federal Register, and a copy be served on parties of record;

IT IS FURTHER ORDERED That all documents submitted by any party of record in this proceeding shall be filed in accordance with Rule 118 of the Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.118, as well as being mailed directly to all parties of record;

FINALLY, IT IS ORDERED That pursuant to the terms of Rule 6.1 of the Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.61, the final decision of the Commission in this proceeding shall be issued by August 2, 2002.

By the Commission.


Bryant L. VanBrakle
Secretary

FEDERAL MARITIME COMMISSION

Notice of Agreement(s) Filed

The Commission hereby gives notice of the filing of the following agreement(s) under the Shipping Act of 1984. Interested parties can review or obtain copies of agreements at the Washington, DC offices of the Commission, 800 North Capitol Street, NW., Room 940. Interested parties may submit comments on an agreement to the Secretary, Federal Maritime Commission, Washington, DC 20573, within 10 days of the date this notice appears in the **Federal Register**.

Agreement No.: 011712-001.

Title: CMA CGM/CSG Exchange Sailing and Cooperative Working Agreement.

Parties: China Container Shipping Lines Co. Ltd. CMA CGM, S.A.

Synopsis: The amendment revises the number and size of the vessels utilized, increases the amount of space exchanged, and modifies resignation and termination procedures.

Agreement No.: 011737-003.

Title: The MCA Agreement.

Parties: Antillean Marine Shipping Corporation Crowley Liner Services, Inc. CMA CGM, S.A. Far Eastern Shipping Company King Ocean Central America S.A. King Ocean Service De Colombia S.A. King Ocean Service De Venezuela S.A. Mexican Line Limited, LLC Lykes Lines Limited, LLC Tecmarine Lines, Inc. Tropical Shipping & Construction Co., Ltd. Alianca Navegacao E. Logistica Ltda. Hamburg-Sud.

Synopsis: The proposed amendment adds Antillean Marine Shipping Corporation, Far Eastern Shipping Company, King Ocean Central America S.A., King Ocean Service De Colombia S.A., and King Ocean Service De Venezuela S.A. as parties to the agreement. The amendment also deletes Cho Yang Shipping Co., Ltd. and Compania Chilena De Navegacion Interoceanica S.A. as parties to the agreement.

Agreement No.: 11780.

Title: Maersk Sealand/MSC Slot Charter Agreement.

Parties: A.P. Moller-Maersk Sealand Mediterranean Shipping Company.

Synopsis: The proposed agreement authorizes Maersk Sealand to charter slots on MSC ships operating between the U.S. East Coast and Northern Europe until January 31, 2002. The parties request expedited review.

Agreement No.: 011781.

Title: HJS/K-Line Slot Allocation & Sailing Agreement.

Parties: Hanjin Shipping Co., Ltd. Kawasaki Kisen Kaisha, Ltd.

Synopsis: The proposed agreement authorizes the parties to sell and purchase slots to and from each other in the trade between Asia and the United States Pacific Coast.

By Order of the Federal Maritime Commission.

Dated: November 9, 2001.

Theodore A. Zook,

Assistant Secretary.

[FR Doc. 01-28669 Filed 11-14-01; 8:45 am]

BILLING CODE 6730-01-P

FEDERAL MARITIME COMMISSION

[Docket No. 01-11]

Revocation of License No. 012234 AAA Nordstar Line Inc.; Notice of Show Cause Proceeding

Notice is given that the Commission, on November 5, 2001, pursuant to sections 11 and 19 of the Shipping Act of 1984, served an Order to Show Cause on AAA Nordstar Line, Inc. ("AAA Nordstar"), a Delaware corporation incorporated in 1991 which has operated an ocean transportation intermediary ("OTI") pursuant to FMC license No. 012234 since August 2000. According to a review of records maintained by the Commission's Bureau of Consumer Complaints and Licensing ("BCCL"), AAA Nordstar maintains principal offices at 1571 Irving Street in Rahway, New Jersey. BCCL records identify the principals of the firm as Anil V. Rane, its President and Qualifying Individual, and Maria E. Fabros, its Vice President and Secretary.

It has come to the attention of the Commission that Anil Rane and Maria Fabros also serve as officers and/or shareholders of Great Eastern Shipping, Inc. ("Great Eastern Shipping"), an unlicensed entity engaged in the transportation of military household goods pursuant to contracts with the U.S. Military Traffic Management Command ("MTMC"). It further appears that Great Eastern Shipping was then sharing office space with AAA Nordstar in Rahway, NJ and possibly at other locations, and that Great Eastern Shipping has held itself out to the public as serving as the agent of AAA Nordstar.¹

¹ At the time of AAA Nordstar's application for an OTI license, applicant's qualifying individual was required to submit standard information regarding the applicant's current office-sharing arrangements, the identification of officers, directors and owners of corporate applicants, locations of branch offices, and any relationships with other corporations or shippers. Applicant's qualifying individual, Anil Rane, responded in the negative to questions regarding common ownership or operation of other companies.

On July 26, 2001, judgment was rendered against Anil Rane in the United States District Court for the District of New Jersey, pursuant to Mr. Rane's plea of guilty to two federal counts alleging mail fraud and conspiracy to commit mail fraud. On September 14, 2001, judgment was rendered against Maria Fabros in the United States District Court, pursuant to Mrs. Fabros' plea of guilty to two counts of mail fraud and conspiracy to commit mail fraud. Sentencing documents relating to the above judgments assert that, from September 1998 through June 2000, co-conspirators Anil Rane and Maria Fabros, acting through Great Eastern Shipping, were awarded more than 350 single-shipment contracts for ocean transportation of cargo through the Department of Defense. It was asserted that defendants Anil Rane and Maria Fabros routinely overbilled MTMC and also falsified documents to make it appear that Great Eastern Shipping was using U.S. flag vessels when the transportation was, in fact, performed by foreign-registered vessels, contrary to U.S. shipping laws and the applicable MTMC shipping contracts. Each defendant was sentenced to jail time and extended court supervision upon subsequent release. Pursuant to a separate settlement agreement, defendants agreed to make financial restitution to the government in the amount of \$4,323,673.79.

The crimes of mail fraud and conspiracy to commit mail fraud in connection with Great Eastern Shipping's business of handling and transporting military household goods on behalf of the Department of Defense, admitted in the pleas of guilty entered by Mr. Anil Rane and Mrs. Maria Fabros, constitute acts of moral turpitude reflecting directly upon the licensee's continued fitness to conduct business as an OTI. This is true inasmuch as the offending officials, and perhaps others having ties to Great Eastern Shipping, have served and may continue to serve as employees, officers, directors and shareholders of the corporate licensee, or as the agents for same through the means or device of Great Eastern Shipping. It further appears that, in applying for and conducting business under authority of its OTI license, AAA Nordstar Inc. and its principals made materially false or misleading statements to the Commission, and subsequently failed to correct such omissions or otherwise advise the Commission of changes in material facts relating to its operations

and the qualifications of its management.²

The order directs AAA Nordstar Inc. to show cause, why its OTI license, FMC No. 012234, should not be revoked inasmuch as the officers, directors or other principals, employees or agents of licensee have been found to have violated provisions of the 1984 Act or other shipping statutes or regulations related to carrying on the business of an ocean transportation intermediary, and that such licensee is otherwise not qualified to render intermediary services.

The full text of the Order may be viewed on the Commission's home page at www.fmc.gov, or at the Office of the Secretary, Room 1046, 800 N. Capitol Street, NW, Washington, DC.

Any person may file a petition for leave to intervene in accordance with 46 CFR 502.72 and the provisions of the Order to Show Cause.

Theodore A. Zook,

Assistant Secretary.

[FR Doc. 01-28666 Filed 11-14-01; 8:45 am]

BILLING CODE 6730-01-P

FEDERAL MARITIME COMMISSION

Ocean Transportation Intermediary License Applicants

Notice is hereby given that the following applicants have been filed with the Federal Maritime Commission an application for licenses as Non-Vessel Operating Common Carrier and Ocean Freight Forwarder—Ocean Transportation Intermediary pursuant to section 19 of the Shipping Act of 1984 as amended (46 U.S.C. app. 1718 and 46 CFR 515).

Persons knowing of any reason why the following applicant should not receive a license are requested to contact the Office of Transportation Intermediaries, Federal Maritime Commission, Washington, DC 20573.

Non-Vessel Operating Common Carrier Ocean Transportation Intermediary Applicants

AE Eagle America Inc., 155-04 145th Avenue, Jamaica, NY 11434, Officers: Davy NG, Secretary (Qualifying Individual), Milton Cheung, President

Cargozone Trans Corporation, 19550 Dominguez Hills Dr., Rancho Dominguez, CA 90220, Officers: Paul M. Kim, Secretary (Qualifying Individual), Byung Keun Han, President

Mark M. Marcus, North American Container Group, 6600 N. Lincoln Ave., Suite 3066, Lincolnwood, IL 60712, Sole Proprietor

Navetrans Corp. dba Costa Rica Carriers, 240 Crandon Blvd., Suite 203 A, Miami, FL 33149, Officers: Sahir Miguel Morales, Asst. Vice President (Qualifying Individual), Joachim Haubold, President

Datacargo Co. Inc. dba Datacargo, 8235 N.W. 82nd Avenue, Miami, FL 33166, Luis Andres Sara, General Manager (Qualifying Individual), Maria Elena Gomez Ruggiero, Vice President

Non-Vessel Operating Common Carrier and Ocean Freight Forwarder Transportation Intermediary Applicants

Summit Cargo Group, Inc., 724 South Hindry Avenue, Inglewood, CA 90301, Officers: Tony Feist, Director of Operations (Qualifying Individual), Zachary Zemby, President

Kuhn Hay, Inc., 1625 Drew Road, El Centro, CA 92243, Officers: James E. Kuhn, President (Qualifying Individual), John Robert Kuhn, Director

Top Cargo Inc., 3537 NW 82nd Avenue, Miami, FL 33122, Officer: Damian J. Pelegrino, President (Qualifying Individual)

Sun Express International, Inc. dba BNX Shipping Hawaii, 1188 Bishop Street, #1006 Honolulu, HI 96813, Officer: Sun Hee Lee, President (Qualifying Individual)

Dated: November 9, 2001.

Theodore A. Zook,

Assistant Secretary.

[FR Doc. 01-28667 Filed 11-14-01; 8:45 am]

BILLING CODE 6730-01-P

FEDERAL MARITIME COMMISSION

Ocean Transportation Intermediary License Revocations

The Federal Maritime Commission hereby gives notice that the following Ocean Transportation Intermediary

licenses have been revoked pursuant to section 19 of the Shipping Act of 1984 (46 U.S.C. app. 1718) and the regulations of the Commission pertaining to the licensing of Ocean Transportation Intermediaries, effective on the corresponding date shown below:

License Number: 827F

Name: Davies, Turner & Co.

Address: 113 Chestnut Street, Philadelphia, PA 19106

Date Revoked: October 12, 2001.

Reason: Surrendered license voluntarily.

License Number: 4425N

Name: Esprit International Shipping Combined Transport, Inc. dba Capital Freight Management

Address: 701 S. Atlantic Blvd., #200, Monterey Park, CA 91754

Date Revoked: September 5, 2001.

Reason: Failed to maintain a valid bond.

License Number: 3644F

Name: Forward Logistics Group, Inc. *Address:* 1902 Cypress Lake Drive, Suite 200, Orlando, FL 32837

Date Revoked: September 30, 2001.

Reason: Failed to maintain a valid bond.

License Number: 14162NF

Name: ITS North America Limited

Address: 12727 NE 20th Street, Suite 23, Bellevue, WA 98005

Date Revoked: September 30, 2001.

Reason: Failed to maintain a valid bond.

License Number: 4513N

Name: Kevin C. Ahn dba Baytop Container Co.

Address: 2800 Plaza Del Amo Blvd., Torrance, CA 90503

Date Revoked: September 30, 2001.

Reason: Failed to maintain a valid bond.

License Number: 15333N

Name: Newtrans Service Corp. dba Newtrans Worldwide Co.

Address: 146-92 Guy R. Brewer Blvd., Jamaica, NY 11434

Date Revoked: September 30, 2001.

Reason: Failed to maintain a valid bond.

License Number: 13389N

Name: Pacificana Air Services, Inc. *Address:* 5250 West Century Blvd., Suite 302, Torrance, CA 90045

Date Revoked: October 3, 2001.

Reason: Failed to maintain a valid bond.

License Number: 14267N

Name: Protech Shipping Co., Inc. dba PSI Express Line

Address: 161-15 Rockaway Blvd., Suite 108, Jamaica, NY 11434

Date Revoked: October 7, 2001.

Reason: Failed to maintain a valid bond.

² Such omissions or misstatements of fact include, but are not limited to, common management, ownership and space sharing arrangements between AAA Nordstar and Great Eastern Shipping; the failure to disclose or obtain additional surety with respect to operation of branch offices in Florida and California; the failure to disclose all current officers and/or directors of AAA Nordstar; and the failure to disclose changes in material facts relating to the convictions of AAA Nordstar principals Anil Rane and Maria Fabros. Under 46 CFR 515.12(d), licensees and applicants must advise Commission of changes in material fact, within thirty (30) days of occurrence, through the submission of an amended Form FMC-18 Rev.

DIP

JUSTICE NEWS

Department of Justice

Office of Public Affairs

FOR IMMEDIATE RELEASE

Friday, September 26, 2014

Japanese Company Agrees to Plead Guilty to Price Fixing on Ocean Shipping Services for Cars and Trucks

Company Agrees to Pay \$67.7 Million Criminal Fine

Kawasaki Kisen Kaisha Ltd. (K-Line), a Japanese corporation, has agreed to plead guilty and to pay a \$67.7 million criminal fine for its involvement in a conspiracy to fix prices, allocate customers, and rig bids of international ocean shipping services for roll-on, roll-off cargo, such as cars and trucks, to and from the United States and elsewhere, the Department of Justice announced today.

According to a one-count felony charge filed today in U.S. District Court for the District of Maryland in Baltimore, K-Line conspired to suppress and eliminate competition by allocating customers and routes, rigging bids and fixing prices for the sale of international ocean shipments of roll-on, roll-off cargo to and from the United States and elsewhere, including the Port of Baltimore. K-Line participated in the conspiracy from at least as early as February 1997 until at least September 2012. K-Line has agreed to cooperate with the Department's ongoing antitrust investigation. The plea agreement is subject to court approval.

Roll-on, roll-off cargo is non-containerized cargo that can be both rolled onto and rolled off of an ocean-going vessel. Examples of this cargo include new and used cars and trucks and construction and agricultural equipment.

"Our efforts exposed a long-running global conspiracy that operated globally, affecting the shipping costs of staggering numbers of cars, into and out of the Port of Baltimore, and other ports in the United States and across the globe. Today's announcement demonstrates our continuing resolve to bring the members of this conspiracy to justice." said Bill Baer, Assistant Attorney General in charge of the Department of Justice's Antitrust Division. "We are continuing our efforts to ensure that both the corporations and individuals involved in this cartel are held accountable for their acts and the harm they inflicted on American consumers."

According to the charge, K-Line and its co-conspirators conspired by, among other things, agreeing – during meetings and communications – on prices, allocating customers, agreeing to refrain from bidding against one another and exchanging customer pricing information. The department said the companies then charged rates in accordance with those agreements for international ocean shipping services for certain roll-on, roll-off cargo to and from the United States and elsewhere at collusive and non-competitive prices.

K-Line is charged with price fixing in violation of the Sherman Act, which carries a maximum penalty of a \$100 million criminal fine for corporations. The maximum fine may be increased to twice the gain derived

EXHIBIT #2

from the crime or twice the loss suffered by the victims of the crime, if either of those amounts is greater than the statutory maximum fine.

Today's charge is the result of an ongoing federal antitrust investigation into price fixing, bid rigging, and other anticompetitive conduct in the international roll-on, roll-off ocean shipping industry, which is being conducted by the Antitrust Division's Washington Criminal I Section and the FBI's Baltimore Field Office, along with assistance from the U.S. Customs and Border Protection Office of Internal Affairs, Washington Field Office/Special Investigations Unit. Anyone with information in connection with this investigation is urged to call the Antitrust Division's Washington Criminal I Section at 202-307-6694, visit www.justice.gov/atr/contact/newcase.html, or call the FBI's Baltimore Field Office at 410-265-8080.

Component(s):

Antitrust Division

Press Release Number:

14-1043

Updated September 26, 2014

 An official website of the United States government [Here's how you know](#)



Department of Justice

Office of Public Affairs

FOR IMMEDIATE RELEASE

Friday, September 26, 2014

Japanese Company Agrees to Plead Guilty to Price Fixing on Ocean Shipping Services for Cars and Trucks

Company Agrees to Pay \$67.7 Million Criminal Fine

Kawasaki Kisen Kaisha Ltd. (K-Line), a Japanese corporation, has agreed to plead guilty and to pay a \$67.7 million criminal fine for its involvement in a conspiracy to fix prices, allocate customers, and rig bids of international ocean shipping services for roll-on, roll-off cargo, such as cars and trucks, to and from the United States and elsewhere, the Department of Justice announced today.

According to a one-count felony charge filed today in U.S. District Court for the District of Maryland in Baltimore, K-Line conspired to suppress and eliminate competition by allocating customers and routes, rigging bids and fixing prices for the sale of international ocean shipments of roll-on, roll-off cargo to and from the United States and elsewhere, including the Port of Baltimore. K-Line participated in the conspiracy from at least as early as February 1997 until at least September 2012. K-Line has agreed to cooperate with the Department's ongoing antitrust investigation. The plea agreement is subject to court approval.

Roll-on, roll-off cargo is non-containerized cargo that can be both rolled onto and rolled off of an ocean-going vessel. Examples of this cargo include new and used cars and trucks and construction and agricultural equipment.

"Our efforts exposed a long-running global conspiracy that operated globally, affecting the shipping costs of staggering numbers of cars, into and out of the Port of Baltimore, and other ports in the United States and across the globe. Today's announcement demonstrates our continuing resolve to bring the members of this conspiracy to justice." said Bill Baer, Assistant Attorney General in charge of the Department of Justice's Antitrust Division. "We are continuing our efforts to ensure that both the corporations and individuals involved in this cartel are held accountable for their acts and the harm they inflicted on American consumers."

According to the charge, K-Line and its co-conspirators conspired by, among other things, agreeing – during meetings and communications – on prices, allocating customers, agreeing to refrain from bidding against one another and exchanging customer pricing information. The department said the companies then charged rates in accordance with those agreements for international ocean shipping services for certain roll-on, roll-off cargo to and from the United States and elsewhere at collusive and non-competitive prices.

K-Line is charged with price fixing in violation of the Sherman Act, which carries a maximum penalty of a \$100 million criminal fine for corporations. The maximum fine may be increased to twice the gain derived

from the crime or twice the loss suffered by the victims of the crime, if either of those amounts is greater than the statutory maximum fine.

Today's charge is the result of an ongoing federal antitrust investigation into price fixing, bid rigging, and other anticompetitive conduct in the international roll-on, roll-off ocean shipping industry, which is being conducted by the Antitrust Division's Washington Criminal I Section and the FBI's Baltimore Field Office, along with assistance from the U.S. Customs and Border Protection Office of Internal Affairs, Washington Field Office/Special Investigations Unit. Anyone with information in connection with this investigation is urged to call the Antitrust Division's Washington Criminal I Section at 202-307-6694, visit www.justice.gov/atr/contact/newcase.html, or call the FBI's Baltimore Field Office at 410-265-8080.

Component(s):

Antitrust Division

Press Release Number:

14-1043

Updated September 26, 2014

 An official website of the United States government [Here's how you know](#)



Department of Justice

Office of Public Affairs

FOR IMMEDIATE RELEASE

Friday, January 30, 2015

Ocean Shipping Executive Pleads Guilty to Price Fixing on Ocean Shipping Services for Cars and Trucks

An executive of Japan-based Kawasaki Kisen Kaisha Ltd. (K-Line) pleaded guilty today and was sentenced to 18 months in a U.S. prison for his involvement in a conspiracy to fix prices, allocate customers and rig bids of international ocean shipping services for roll-on, roll-off cargo, such as cars and trucks, to and from the United States and elsewhere, the Department of Justice announced today.

According to the one-count felony charge filed today in U.S. District Court for the District of Maryland in Baltimore, Hiroshige Tanioka, who was at various times an assistant manager, team leader and general manager in K-Line's car carrier division, conspired to allocate customers and routes, rig bids and fix prices for the sale of international ocean shipments of roll-on, roll-off cargo to and from the United States and elsewhere, including the Port of Baltimore. Tanioka participated in the conspiracy from at least as early as April 1998 until at least April 2012.

Roll-on, roll-off cargo is non-containerized cargo that can be both rolled onto and off of an ocean-going vessel. Examples of this cargo include new and used cars and trucks and construction and agricultural equipment.

"For more than a decade this conspiracy has raised the cost of importing cars and trucks into the United States," said Assistant Attorney General Bill Baer for the Department of Justice's Antitrust Division. "Today's sentencing is a first step in our continuing efforts to ensure that the executives responsible for this misconduct are held accountable."

Today's sentence was the first to be imposed against an individual in the division's ocean shipping investigation. Previously, three corporations have agreed to plead guilty and to pay criminal fines totaling more than \$136 million, including Tanioka's employer K-Line, which was sentenced to pay a criminal fine of \$67.7 million in November 2014.

Pursuant to the plea agreement, which was accepted by the court today, Tanioka was sentenced to serve an 18-month prison term and pay a \$20,000 criminal fine for his participation in the conspiracy. In addition, Tanioka has agreed to assist the department in its ongoing investigation into the ocean shipping industry.

Tanioka was charged with a violation of the Sherman Act, which carries a maximum sentence of 10 years in prison and a \$1 million criminal fine for an individual. The maximum fine may be increased to twice the gain derived from the crime or twice the loss suffered by the victims of the crime, if either of those amounts is greater than the statutory maximum fine.

Today's plea agreement is the result of an ongoing federal antitrust investigation into price fixing, bid rigging and other anticompetitive conduct in the international roll-on, roll-off ocean shipping industry, which is being conducted by the Antitrust Division's Washington Criminal I Section and the FBI's Baltimore Field Office, along with assistance from the U.S. Customs and Border Protection Office of Internal Affairs, Washington Field Office/Special Investigations Unit. Anyone with information in connection with this investigation is urged to call the Antitrust Division's Washington Criminal I Section at 202-307-6694, visit www.justice.gov/atr/contact/newcase.html or call the FBI's Baltimore Field Office at 410-265-8080.

Topic(s):

Antitrust

Component(s):

Antitrust Division

Press Release Number:

15-115

Updated February 4, 2016

DJP

JUSTICE NEWS

Department of Justice

Office of Public Affairs

FOR IMMEDIATE RELEASE

Thursday, February 27, 2014

South American Company Agrees to Plead Guilty to Price Fixing on Ocean Shipping Services for Cars and Trucks

First Charges in the Department's Antitrust Investigation Involving Ocean Shipping Services; Conspiracy Affected Global Cargo Shipments, Including at Port of Baltimore

Compañía Sud Americana de Vapores S.A. (CSAV), a Chilean corporation, has agreed to plead guilty and to pay an \$8.9 million criminal fine for its involvement in a conspiracy to fix prices, allocate customers and rig bids of international ocean shipping services for roll-on, roll-off cargo, such as cars and trucks, to and from the United States and elsewhere, the Department of Justice announced today.

According to a one-count felony charge filed today in U.S. District Court for the District of Maryland in Baltimore, CSAV engaged in a conspiracy to suppress and eliminate competition by allocating customers and routes, rigging bids and fixing prices for the sale of international ocean shipping services of roll-on, roll-off cargo to and from the United States and elsewhere, including the Port of Baltimore. CSAV participated in the conspiracy from at least January 2000 to September 2012. CSAV has also agreed to cooperate with the department's ongoing antitrust investigation. The plea agreement is subject to court approval.

Roll-on, roll-off cargo is non-containerized cargo that can be both rolled onto and rolled off of an ocean-going vessel. Examples of this cargo include new and used cars and trucks, as well as construction, mining and agricultural equipment.

"Today's charges are the first to be filed in the Antitrust Division's investigation into bid rigging and price fixing of ocean shipping services," said Bill Baer, Assistant Attorney General in charge of the Department of Justice's Antitrust Division. "Because of the growth in the automobile ocean shipping industry over the past 40 years, the conspiracy substantially affected interstate and foreign commerce. Prosecuting international price-fixing conspiracies remains a top priority for the division."

According to the charge, CSAV and its co-conspirators carried out the conspiracy by, among other things, agreeing – during meetings and communications – on prices, allocating customers, agreeing to refrain from bidding against one another and exchanging customer pricing information. The department said the companies then charged fees in accordance with those agreements for international ocean shipping

EXHIBIT #3

services for certain roll-on, roll-off cargo to and from the United States and elsewhere at collusive and non-competitive prices.

CSAV is charged with price fixing in violation of the Sherman Act, which carries a maximum penalty of a \$100 million criminal fine for corporations. The maximum fine may be increased to twice the gain derived from the crime or twice the loss suffered by the victims of the crime, if either of those amounts is greater than the statutory maximum fine.

Today's charge is the result of an ongoing federal antitrust investigation into price fixing, bid rigging, and other anticompetitive conduct in the international ocean shipping industry, which is being conducted by the Antitrust Division's National Criminal Enforcement Section and the FBI's Baltimore Field Office, along with assistance from the U.S. Customs and Border Protection, Office of Internal Affairs, Washington Field Office/Special Investigations Unit. Anyone with information in connection with this investigation is urged to call the Antitrust Division's National Criminal Enforcement Section at 202-307-6694, visit www.justice.gov/atr/contact/newcase.html, or call the FBI's Baltimore Field Office at 410-265-8080.

Component(s):
Antitrust Division

Press Release Number:
14-209

Updated September 15, 2014



This site is an official U.S. Government Website.

[Home](#) | [Contact](#)

Search



FEDERAL MARITIME COMMISSION

COMPETITION AND INTEGRITY FOR AMERICA'S OCEAN SUPPLY CHAIN

[About the FMC](#)[News & Events](#)[Law & Regulation](#)[Databases & Services](#)[Licensing & Certification](#)[Documents & Proceedings](#)[Industry Oversight](#)[Home](#) » [News & Events](#) » CSAV Pays \$625,000 Civil Penalty

| CSAV Pays \$625,000 Civil Penalty

Posted March 5, 2014

March 5, 2014

NR 14-02

Contact: [Karen V. Gregory](#), Secretary (202-523-5725)

The Federal Maritime Commission announced a compromise agreement reached with Compania Sud Americana de Vapores S.A. (CSAV). CSAV is a vessel-operating common carrier based in Valparaiso, Chile. As a separate line of business, CSAV operates roll on/roll off (RO/RO) vessels in U.S. inbound and outbound trades.

Under the compromise agreement, CSAV agreed to pay a \$625,000 civil penalty to resolve allegations that it violated the Shipping Act by acting in concert with other ocean common carriers under unfiled agreements involving shipments of automobiles and other motorized vehicles on RO/RO or specialized car carrier vessels in various U.S. import and export trades. These agreements had not been filed with the Commission or become effective under the Shipping Act in violation of Section 10(a) of the Shipping Act, 46 U.S.C. § 41102(b). The compromise also addressed related activities and violations arising under such carrier agreements. Commission staff alleged that these practices persisted over a period of several years and involved numerous U.S. trade lanes.

In concluding the compromise, CSAV agreed to provide ongoing cooperation with other Commission investigations or enforcement actions with respect to these activities. CSAV did not admit to violations of the Shipping Act.

Federal Maritime Commission Chairman Mario Cordero stated: "The Shipping Act mandates that the Commission take responsible actions to protect the shipping public. Carriers who fail to properly file with the Commission their agreements affecting carrier working relationships in the U.S. trades are made liable for significant civil penalties, no matter the size of the trade or the market share of the carrier involved."

The Federal Maritime Commission (FMC) is the independent federal agency responsible for regulating the nation's international ocean transportation for the benefit of exporters, importers, and the American consumer. The FMC's mission is to foster a fair, efficient, and reliable international ocean transportation system while protecting the public from unfair and deceptive practices.



Federal Maritime Commission
800 North Capitol Street, N.W.
Washington, D.C. 20573

Our mission is to **ensure a competitive and reliable international ocean transportation supply system** that supports the U.S. economy and protects the public from unfair and deceptive practices.

[Site Policies](#) | [Inspector General](#) | [U.S. Office of Special Counsel](#) | [FOIA](#) | [Open Government at the FMC](#) | [USA.gov](#) | [Contact Us](#)

This site is an official U.S. Government Website.

EXHIBIT #4

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

DIP SHIPPING COMPANY, LLC, *REVOCATION OF OCEAN
TRANSPORTATION INTERMEDIARY LICENSE NO. 018752.*

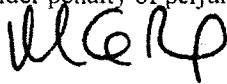
DOCKET NO. 20-04

DECLARATION OF MARGIE GUADALUPE DIP

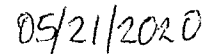
1. I am now and at all times relevant to these proceedings, have been the 50% owner of Dip Shipping Company LLC.
2. The other 50% owner is my sister, Maria Dip.
3. I am now, and at all times relevant to these proceedings have been the Qualifying Individual for the Overseas Transportation Intermediary (OTI) license issued by the FMC.
4. I was not a defendant in the criminal proceedings against Roberto Dip or Dip Shipping Company LLC.
5. I was in regular contact with the criminal defense attorney Joel Denaro during the investigation, prosecution, cooperation with the Federal Government, plea agreement negotiations, and sentencing of Roberto Dip.
6. I was in regular contact with the criminal defense attorney Joel Denaro during the investigation, prosecution, cooperation with the Federal Government, plea agreement negotiations, and through the Amended Judgment against Dip Shipping Company LLC which was entered on December 8, 2019. See Exhibit #13 of the Bureau of Enforcement Submissions.
7. I am aware of the criminal monetary penalty assessed against Dip Shipping Company LLC as part of the Amended Judgment against Dip Shipping Company LLC which was entered on December 8, 2019. See Exhibit #13 of the Bureau of Enforcement Submissions.
8. I was unaware that I, personally, as the Manager of Dip Shipping Company LLC, had to advise the FMC that Dip Shipping Company LLC had plead guilty to a criminal charge.
9. I was under the assumption that the FMC was fully informed of the status of the plea negotiations and criminal resolution of the case through the United States Department of Justice attorneys who were prosecuting the criminal case against both Roberto Dip and Dip Shipping Company LLC.
10. I was under that assumption because I had numerous discussions with Joel Denaro regarding his communications with the DOJ attorneys expressing the need for Dip Shipping Company LLC to maintain its FMC license once Roberto Dip was removed as owner and officer of the company.
11. My belief was based in part upon Joel Denaro advising me that the DOJ attorneys advised him that they were in contact with the appropriate representatives from the FMC regarding the FMC OTI License of Dip Shipping Company LLC.
12. My assumption was also based upon the FMC's approval of me as the QI for Dip Shipping Company LLC once Roberto Dip was removed as an owner and officer of the company because of his prosecution, plea agreement, and sentencing.

13. The new ownership and management of the company took place after receiving the attached December 13, 2018 letter from the Bureau of Certification and Licensing, FMC, advising "the outcome of a criminal indictment in connection with price fixing may constitute acts which bear directly upon the licensee's continued fitness to conduct business as an OTI", and to contact Bureau of Certification and Licensing Special Assistant Cliff Johnson. See attached Exhibit #1.
14. By email dated January 7, 2019 from Roberto Dip, then President of Dip Shipping Company LLC, to Cliff Johnson at the FMC, and to which I was copied, which summarized exactly what I believed then and believed throughout the criminal prosecution process which was "the DOJ prosecutors are returning to the case this week and he will discuss the matter with them. During the process they have mentioned they have no intention to cause business disruption to our company at all. Our attorney [Joel Denaro] will discuss the possibility with them and with you, of a direct communication between the FMC and DOJ." See attached Exhibit #2.
15. My assumption was also based, in part, upon the knowledge that the prosecution and judgment against Dip Shipping Company LLC was always connected to the prosecution, plea agreement, and sentencing of Roberto Dip.
16. My assumption was also based, in part, upon the knowledge that the FMC was directly provided the Information, Plea Agreement, and other documents in the criminal prosecution of Roberto Dip by my administrative attorney, Peter Quinter, in connection with my new application in 2019 as the QI for Dip Shipping Company LLC.
17. The revocation of the OTI license will automatically result in the closing of the company, and the termination of all its employees.
18. As the Manager, I have always operated Dip Shipping Company LLC with the highest ethical standards, including compliance with FMC regulations and requirements.

I declare under penalty of perjury pursuant to 28 USC 1746 that the foregoing is true and correct.



Margie Guadalupe Dip, Manager
Dip Shipping Company, LLC
13483 NW 19th Lane
Miami, FL 33182



Date Executed



FEDERAL MARITIME COMMISSION

BUREAU OF CERTIFICATION AND LICENSING

800 NORTH CAPITOL STREET, N.W.

WASHINGTON, DC 20573-0001

(202) 523-5787

DEC 13 2018

Mr. Robert Dip, President
Dip Shipping Company, L.L.C.
13483 NW 19th Lane
Miami, FL 33182

Dear Mr. Dip:

The Bureau of Certification and Licensing has been informed that Roberto Dip and Jason Handal of Dip Shipping Company, L.L.C. an Ocean Transportation Intermediary (OTI) licensed by the Federal Maritime Commission to operate as a non-vessel-operating common carrier and freight forwarder, entered pleas of guilty on November 30, 2018 to a charge of price fixing.

Under 46 C.F.R. 515.12 (e), licensees must advise Commission of changes in material fact, within thirty (30) days of occurrence, through the submission of an amended Form FMC-18. We would ask that you immediately file such report relating to the above criminal proceedings. Please include therein a copy of any indictment or criminal information, any plea agreement between Roberto Dip and the Department of Justice, and any documents relating to the court's judgment in the above criminal proceeding. *

Please take this opportunity also to review and update your listing of officers, directors and shareholders of the corporation (FMC-18, Item #16); to identify any entities not previously reported to which Dip Shipping Company, L.L.C. is related by reason of common ownership or common officers, directors or employees (FMC-18, Item #18); and to list each current branch office, specifying whether any are separately incorporated (FMC-18, Item #19). *

Please be advised that the outcome of a criminal indictment in connection with price fixing may constitute acts which bear directly upon the licensee's continued fitness to conduct business as an OTI. See, e.g., FMC Docket No. 01 -11, Revocation of License No. 012234, AAA Nordstar Line Inc., 29 S.R.R. 429 (2001) (order to show cause occasioned by criminal conviction of licensee's principal) and 29 S.R.R. 663. (2002) (order of revocation and order to cease and desist).

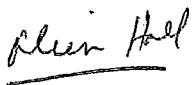
Accordingly, you are encouraged at this time to submit also any documents or argument * which you believe would explain, mitigate or show extenuating circumstances with respect to the above criminal plea. Should you have any questions, please feel free to contact the Bureau Special Assistant, Cliff Johnson, by phone at (202)523-5787 or by e-mail at bcl@fmc.gov.

Sincerely,



Sandra Kusumoto, Director
Bureau of Certification and Licensing

cc: Bureau of Enforcement



Subject: FMC Notice - Dip Shipping Co. Certification / Fixed Pricing Plea

From: Roberto Dip (rdip@dipshipping.com)

To: bcl@fmc.gov; lupedip@dipshipping.com;

Date: Monday, January 7, 2019 5:49 PM

Good afternoon Mr. Johnson,

We received today in our Miami offices the attached letter from the FMC stamped at origin on Dec. 13, 2018. I immediately called the number (202) 523-5787 indicated on the letter but got a voice mail explaining the government shut down issue. Therefore, I have opted for writing you this email while we are able to have a phone conversation. I have the following comments and questions:

1. I acknowledge receipt of this letter today, January 7 of 2019. I did not know we had 30 days to report my Court issue to the FMC. I did previously ask my attorney on FMC implications, and he mentioned he would get specialized advice on this matter later on.
2. I called my attorney this day in reference to your notice, he mentioned to me the DOJ prosecutors are returning to the case this week and he will discuss the matter with them. During the process they have mentioned they have no intention to cause business disruption to our company at all. Our attorney will discuss the possibility with them and with you, of a direct communication between the FMC and the DOJ.
3. Given the above, I would like to respectfully ask you for one week to comply with your documentation request. This includes the amended Form FMC-18, Indictment, plea agreement, and my documented explanation of the extenuating circumstances surrounding this situation.
4. I would also like some direction in the worse case scenario of a license cancellation for Dip Shipping. Would it be possible to have a change in the Presidency of the company to avoid this? I would be replaced by the company's Vice President Margie Dip.

We have been operating since 2004 initially in New Orleans, and later in Miami, Atlanta and Houston with a record of full FMC compliance and cooperation specially in New Orleans and Houston, where we took leadership positions trying to get other Central American market oriented NVOCCs to get FMC compliant. At some time, we sponsored meetings in New Orleans, Houston and Miami between these companies and the FMC representatives in these locations with the purpose of getting FMC training and guidance there. This can be certified by FMC officials Eric Mintz in Miami, Bruce Johnson in New Orleans, Debra Zezima in Houston and in the earlier years Al Kellog in New Orleans (already retired). We also have a good record of collaboration with US Customs as you can appreciate on the attached US Customs Border and Patrol letter from the Miami Port Director back in 2013.

Please let me know your feedback and/or when we can have a phone conversation.

Regards,

Roberto Dip
President Dip Shipping Co.
Phone (305) 597-5246 Cel (786) 877-3169

Attachments

- Federal Maritime Commission.pdf (458.90KB)

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

DIP SHIPPING COMPANY, I.L.C. *REVOCATION OF
OCEAN TRANSPORTATION INTERMEDIARY
LICENSE NO. 018752.*

DOCKET NO. 20-04

DECLARATION OF JOEL DENARO

1. I am now and have been the criminal defense attorney for Roberto Dip in Case No. 2:18-cr-20877 in the United States District Court for the Southern District of Florida in which the U.S. Department of Justice's Antitrust Division in Washington, D.C. alleged antitrust violations by Mr. Dip of 15 USC section 1 that occurred from September 2010 to March 2015
2. I was at all relevant times aware that Roberto Dip previously was the President and owner of Dip Shipping Company LLC.
3. I was at all relevant times aware that Roberto Dip was the Qualifying Individual for Dip Shipping Company LLC.
4. I was at all relevant times aware that Dip Shipping Company LLC was a corporate entity that was licensed by the Federal Maritime Commission (FMC) as an Overseas Transportation Intermediary (OTI).
5. I was at all relevant times aware that Dip Shipping Company LLC was required to maintain a license with the FMC in order to operate its business of international ocean transportation logistics services.
6. I am now and have been the criminal defense attorney for Dip Shipping Company LLC in Case No. 19-20587-CR-Martinez/Otazo-Reyes in the United States District Court for the Southern District of Florida.
7. On behalf of both Roberto Dip and Dip Shipping Company LLC, I was actively involved in plea negotiations with attorneys in the Antitrust Division, U.S. Department of Justice, located in Washington, D.C. which resulted in the Plea Agreement dated October 28, 2019.
8. I know that the Information against Dip Shipping Company, LLC on September 17, 2019, alleged antitrust violations by the company of 15 USC section 1 from September 2010 to March 2015.
9. I know the Plea Agreement of Dip Shipping Company LLC, in the section "Factual Basis for Offense Charged" stated the relevant period was "beginning at early as September 2010 and continuing until at least March 2015."
10. I know that the Plea Agreement of Dip Shipping Company LLC, in the section "Defendant's Cooperation", required the cooperation of its current directors and officers, including Margie Guadalupe Dip who signed the Plea Agreement on behalf of the company.
11. The primary Antitrust Division attorneys at the U.S. Department of Justice with whom I negotiated the Plea Agreement, Judgment and Amended Judgment for Dip Shipping Company LLC were (1) Carsten M. Reichel, U.S. Department of Justice, 450 5th Street NW, Washington, D.C. 2001 (202) 305-0893, carsten.reichel@usdoj.gov, (2) Emma Dick, U.S. Department of Justice, 450 5th Street, NW, Washington, D.C. 20001, (202) 598-8782, emma.dick@usdoj.gov, and (3) Lauren M. Elfiner, U.S. Department of Justice, 450 5th Street, NW, Washington, D.C. 20001, (202) 598-2906, lauren.elfiner@usdoj.gov.
12. I was aware that Dip Shipping Company LLC had been notified in writing 2019 that Roberto Dip could not continue as the Qualifying Individual for FMC licensing purposes for Dip Shipping Company LLC after he plead guilty.
13. I was in regular communications with Margie Guadalupe Dip and the DOJ attorneys mentioned above regarding the new application to the FMC for Dip Shipping Company LLC in which Roberto Dip would be removed as the QI, owner, and manager of Dip Shipping Company LLC, and be replaced by Margie Guadalupe Dip as the QI, President, and 50% owner along with her sister, Maria Dip.
14. For the Plea Agreement signed by Margie Guadalupe Dip on behalf of Dip Shipping Company LLC, she signed only in her role as the current officer of the company, and not because she had any liability, culpability, or personal knowledge of the alleged illegal acts.

EXHIBIT #2

15. Margie Guadalupe Dip was never a defendant in the criminal proceedings against Roberto Dip or Dip Shipping Company LLC.
16. I was in regular contact with Margie Guadalupe Dip during the investigation, prosecution, cooperation with the Federal Government, and plea agreement negotiations for Dip Shipping Company LLC after she became the President and owner of Dip Shipping Company LLC in 2019.
17. I negotiated the criminal monetary penalty assessed against Dip Shipping Company LLC as part of the Amended Judgment against Dip Shipping Company LLC which was entered on December 8, 2019. See Exhibit #13 of the Bureau of Enforcement Submissions.
18. It was repeatedly expressed by me to the various DOJ attorneys that Dip Shipping Company LLC was to remain operational as a company licensed by the FMC, with the current officers and owners, and the DOJ attorneys acknowledged they understood this request.
19. The DOJ attorneys acknowledged to me that they had regularly communicated my request to the appropriate representative(s) at the FMC regarding the continued operation of Dip Shipping Company LLC as a company licensed by the FMC.
20. The DOJ attorneys who had contact with various FMC representatives regarding the operation of Dip Shipping Company LLC never advised me that Margie Guadalupe Dip or any other Dip Shipping Company LLC officer or director had to contact the FMC directly about the disposition of the criminal proceedings.
21. I never advised Margie Guadalupe Dip that she, personally, as the QI or Manager of Dip Shipping Company LLC, had to advise the FMC that Dip Shipping Company LLC had plead guilty to a criminal charge or had a Judgment issued against it.
22. I was under the assumption that the FMC was fully informed of the status of the plea negotiations and criminal resolution of the case through the United States Department of Justice attorneys who were prosecuting the criminal case against both Roberto Dip and Dip Shipping Company LLC.

I declare under penalty of perjury pursuant to 28 USC 1746 that the foregoing is true and correct.



Joel M. Denaro
777 Brickell Avenue, Suite 400
Miami, FL 33131
joelddenaro@hotmail.com
(305) 371-1883

3/21/2020

Date Executed